SHEDULE 2: BANK LENDING CONCEPTS, PRINCIPLES AND PROCESS

PRINCIPLES OF LENDING

By lending principles which could also be referred to as lending concepts, we refer to those basic conditions or steps that must be followed by lending banker so as not to realize losses regarding its lending portfolio. These principles or concepts may take the following forms or acronyms, viz:

C-PARTS	6-C'S OF LENDING
C – Character	C – Character
P – Purpose	C – Cause
A – Amount	C – Capital
R – Repayment	C – Capacity
T – Terms & conditions	C – Conditions
S – Security	C– Collateral

Note: the use of bench marks as above varies as between banks.

CHARACTER:-

By character, we look at two parts:

-How the customer runs his account in the bank. (i.e. banking character)

-His non-banking character. (i.e.External record)

How the customer runs his account in the bank:

Bank will look at the way and manner he saves

- The way and manner he withdraws
- The way and manner, he overdraws his account.

Non-bank customers:

-The bank should investigate thoroughly his antecedents before opening the account for him in the first place.

Information about a potential customer can be sourced by the bank through the D*ata Form* given to fill and submitted to the bank. When it comes to lending to the customer, the bank can rely on information drawn from his initial (Form) submission. This will be added to other emerging information about the customer before extending any credit facility to him.

PURPOSE:-

The purpose for lending to a customer must at least be informed by three sub-purposes.

a. Is the purpose legitimate or legal? Bank will only lend to a venture that is approved by law and that meets moral, legitimate and social standards e.g. No bank will lend to finance a purpose like borrowing money to expand an Indian hemp business.

b. Is the purpose bankable? That is, can bank finance this type of project? Normally bank would expect that any project it finances must have an in-built repayment system i.e. the project itself must be able to pay back the borrowed money and interest thereof. No bank will finance a marriage ceremony (though it is legal/legitimate) because it is not a project that will pay back the loan.

. **AMOUNT:-**

The amount the customer intends to borrow must be reasonably sufficient to meet the projects' execution. Customers' contribution towards the project is also very important. He should be able to contribute adequately, the percentage depends on bank policy, e.g. 40% of the cost of the entire project, will reflect a good level of commitment by the customer.. If the loan facility is ₦100m customer should be able to finance ₦ 40 million for the bank to lend ₦ 60 million balance.

. **REPAYMENT:-**

This is the most crucial apart from CHARACTER. It is placed above collateral security as a matter of priority. This is because banks are ever-willing to recoup any loan facility granted firstly from the customer's project. They don't rely on selling off customer's assets (e.g. land) to recover money lent. That means banks with appreciate customers ability to repay rather than sell off his property as this may create bad image for the bank.

HOW WILL BANK ENSURE REPAYMENT OF LOAN?

a. The main sources of repayment information are the P&L and Balance sheet.
b. Customers cash-flow statement
c. Previous five-year record of *Income statement* in a comparative format.
d. Five-year *Income-plan* starting from next year to the fifth year.

TERMS AND CONDITIONS:-

We refer to those basic tenets or agreements that must be followed by the customers as earlier stated. For example, the agreed repayment plan can take any of the following:

a. AMORTIZATION OF A LOAN PERIODICALLY which may involve either of only the principal repayment or only the interest repayment or both.

b. BULLET LOAN REPAYMENT PLAN: Here nothing is paid until the end of the loan period where only **one** amount will be paid.

SECURITY:-

This is the ASSET that the borrowing customer tenders to secure the loan. This asset stands as the collateral security and a last resort that the bank can fall back upon to recover his money where the customer defaults and is unable to repay.